



TAIWAN FIRST TO MARKET

22 JUNE 2026

Top Stories

[Greater China](#) (*Feng Zhu*)

- China: broad weakness in May domestic activity
- Downgrade 2Q GDP growth forecast, upgrade 2H
- Lower-tier cities still lag in the housing recovery
- Taiwan: CBC on hold as expected
- Next week: China LPR; Hong Kong CPI, trade; Taiwan IP, export orders, labor

[Taiwan: CBC on hold as expected](#) (*Tingting Ge*)

Base case still on hold, though 4Q hike risk rising

CBC was on hold at the 2Q monetary policy meeting, in line with our expectations.

CBC lifted its 2026 forecasts to 9.5% GDP (converging to our constructive view of 9.9%) and 1.9% CPI (more benign than ours at 2%).

Risks re-ordered: geopolitics/inflation still top the list, followed by Fed/other CBs' hawkish tilt, and AI/tariff uncertainty.

[Nan Ya Plastics Corp](#) (*Parsley Ong*) (1303 TT, OW)

Blue skies turn to reality, raise PT to NT\$200; good progress on M9/M10 CCL and T-glass; AI-grade might form >50% of mix by 2028

Nan Ya Plastics' share price has rallied by >40% over the past week (vs. Taiex: +8%) due to continued competitor price hikes across electronic materials, and rising expectations for potential good news from the company's M9/M10 qualification with Nvidia. We think the vast majority of investors remain skeptical and uninvested in Nan Ya Plastics, preferring more obvious pure-play PCB chain companies, which on average are up by 182% YTD (Tier 1/2: +221% YTD, see Fig 4). An M9/M10 order win in coming months might be the much-needed catalyst to trigger a valuation multiple re-rating, in our view. We raise 2026/27/28E EPS by 38-65% to reflect recent competitor price hikes and higher AI-grade product mix (JPMe M7+ now >60% of CCL revenue by 2028, and low-dk >50% of glass fiber revenue, versus negligible in 2025), and PT to a street high of NT\$200/sh (4x P/B, ~30% 2028E ROE). Our PT implies 2026/27 P/E's of 23x/15x, offering a 5% 2027E dividend yield even at NT\$200/share.

▲ | [Powerchip Semiconductor Manufacturing Corp.](#) (*Gokul Hariharan*) (6770 TT, OW)

Memory foundry pricing to drive strong GM uptick, new avenues for memory and logic growth; upgrade to OW

We upgrade PSMC to OW with a Jun-27 PT of NT\$100 (14x 12M forward earnings, vs NT\$50 previously, based on 1.7x P/B, given the clearer growth trajectory now) to reflect stronger memory Foundry ASP upgrades, potential new collaboration on HBM packaging and DDR4 process with Micron and upside from Silicon capacitor Foundry opportunity in logic Foundry. Now that PSMC's fundraising is behind us, we believe that the stock is likely to respond to GM uptick, and new logic revenue growth drivers. We expect GMs to go from 10% in 1Q26 to 47% in YE27, given limited cost increases, strong ASP hikes in memory foundry (we model 3x from the bottom in 2Q25), price increases in logic Foundry and better utilization. We believe that PSMC's ability to eventually migrate its DDR4 process to sub-20nm nodes could also enhance its competitiveness vs. Chinese memory peers. We raise our earnings estimates by 4%/85% for 2026/27.

Recommendation Changes

▲ | [Powerchip Semiconductor Manufacturing Corp.](#) (*Gokul Hariharan*) (6770 TT, OW, PT NT\$100.00)

Memory foundry pricing to drive strong GM uptick, new avenues for memory and logic growth; upgrade to OW

Price Target and Estimate Changes

[Nan Ya Plastics Corp](#) (*Parsley Ong*) (1303 TT, OW, PT NT\$200.00)

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Strategy

[EM Money Trail](#) (*Rajiv Batra/Emy Shayo Cherman/Anindita Gandhi*)

Redemptions moderate as GEM outflows ease

Economics

[Greater China](#) (*Feng Zhu*)

[Taiwan: CBC on hold as expected](#) (*Tingting Ge*)

Base case still on hold, though 4Q hike risk rising

Key Rating, Price Target, Estimate & DPS Changes

Rating Changes

Company	New	Old
Increases		
Powerchip Semiconductor Manufacturing Corp.	OW	N

Price Target Changes

Company	Rating	Price Target	
		New	Old
Increases			
Nan Ya Plastics Corp	OW	NT\$200.00	NT\$125.00
Powerchip Semiconductor Manufacturing Corp.	OW	NT\$100.00	NT\$50.00

EPS Estimate Changes

Company	Current FY	Next FY
Increases		
Nan Ya Plastics Corp	+37.8%	+64.9%
Revisions		
Powerchip Semiconductor Manufacturing Corp.	-1.6%	+67.3%

DPS Estimate Changes

Company	Current FY	Next FY
Increases		
Nan Ya Plastics Corp	+37.8%	+64.9%
Decreases		
Powerchip Semiconductor Manufacturing Corp.		-9.4%

Source: J.P. Morgan estimates.

Note: EPS Changes > +/- 1%. DPS Changes > +/- 1%. Numbers and companies above may differ from the corresponding numbers or companies in the individual notes inside the FTM

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